

HEDGEYE DAILY DIGEST

Wednesday, August 6, 2026 · Macro Research Summary (GMT+8)

Keith McCullough is leaning into a #Quad3 “broadening” tape: the **US Dollar** has broken **bearish TRADE and TREND**, the pending three-month **Quad path is 3-1-2**, and equal-weight equities (**RSP at an all-time high**) plus emerging markets are the preferred expressions. A furious two-day short squeeze ripped the June–July wreckage — **PLTR +29%**, **SPCX +9%**, **NVDA +3%** — but the message is to broaden exposure, not chase it. Under the hood it is classic stagflation plumbing: **dollar down, yields up**, and an **August inflation nowcast reaccelerating toward ~3.65%**.

Editor’s note on timing: Items are grouped by publish time converted to **GMT+8 (EDT + 12h)**. Because this run executes early morning GMT+8, Wednesday **Aug 5 EDT** — Hedgeye’s most recent full publishing day — straddles the GMT+8 midnight. Two afternoon-EDT items land in “Today (Aug 6),” while the flagship Early Look, MOMO Tracker and Macro Show land in “Yesterday (Aug 5).” The Early Look is given full detail regardless.

Today’s Publications — August 6, 2026 (GMT+8)

CAPITAL ALLOCATION PRO — Monthly Commentary | Updated Levels

Capital Allocation Pro · 08/05/26 02:53 PM EDT · Aug 6, GMT+8

Hedgeye Asset Management’s **Robert McGroarty**, **Andrew Nanai** and **David Salem** published the **August 2026 Monthly Commentary** for the Capital Allocation Pro model portfolios. The team refreshed **Trend and Tail levels for all 68 ETFs** in the coverage universe using **closing prices from Friday, July 31st**, and pointed subscribers to the updated **Daily Dashboard**, **Model Portfolios** and **Scorecard** elements. The monthly **video walkthrough** of key callouts is flagged as pending.

The note reiterates the product’s “**pull vs. push**” construct — daily levels live on the platform for on-demand access rather than being pushed out piecemeal — and reminds European subscribers that a **UCITS-equivalent mapping** for all current ETF holdings is available. This is the monthly housekeeping release that anchors the allocation framework for the month ahead; actionable positioning changes flow through the separate Model Portfolio Changes notes.

SIGNAL STRENGTH STOCKS: 63 Stocks (2 Added, 3 Removed)

Signal Strength Stocks · 08/05/26 12:26 PM EDT · Aug 6, GMT+8

The weekly quantitative signal screen now holds **63 names**, down from 64. **Added: AMZN and TWLO**. **Removed: CVX, TTWO and CRON**. The **AMZN** add is notable given the stock’s outsized momentum this week (it flipped **BULLISH** on the MOMO Tracker after a **+15.3%** move) and ties to the broadening-participation theme running through the day’s macro work. The removal of **CVX** is consistent with crude oil’s signal flipping bearish (see Macro Show, below).

Yesterday’s Publications — August 5, 2026 (GMT+8)

EARLY LOOK — Broadening Into Quad 3-1-2

Early Look · 08/05/26 07:53 AM EDT · Aug 5, GMT+8 · Keith McCullough

What: Hedgeye's flagship daily macro note. KM frames the tape around a pending **MONTHLY Quad Count of 3-1-2** (a nod to the Chicago area code) and argues for **broadening US equity exposure** as **NVDA** and **GOOGL** cycle back to **Bullish TRADE and TREND**.

Why: A weakening **US Dollar** — which KM attributes to Treasury efforts to hold the USD below **TRADE** and **TREND** versus the **Yen** — is mechanically lifting nominal asset prices and emerging markets. The “buy Tech in any Quad other than when *entering* #Quad4” rule is back in force. Core discipline: **Process Rule #1 — don't drawdown and/or crash**.

What moved: A two-day squeeze rewarded the beaten-down cohort — **Retail Investor basket +5.5%**, **Most-Consensus-Short (HF) basket +4.2%**, **Profitless Tech +4.0%**. Single names: **PLTR +29%** (175M+ shares), **SPCX +9%** (144M+ shares), **NVDA +3%** (135M+ shares). But the wreckage remains broken: **PLTR still -22%** from its 2025 chase-high of **\$207**, retail basket **-2.9%** on the month. Hedgeye's **Long Equal-Weight (RSP)** hit an **all-time high**.

NVDA setup: Closed **\$211**; Momentum = **Bullish TRADE and TREND**; Alpha Code **205/207** (TRADE 205, TREND 207); refreshed **Risk Range™ \$190–216**. The **\$190 low-end sits below both TRADE and TREND**, so those causal levels govern reversals.

Risk Range™ Signals (TREND)

Asset	Risk Range (Low – High)	TREND
UST 10Y Yield	4.58 – 4.74	Bullish
High Yield (HYG)	78.91 – 79.75	Bullish
IG Corp Bonds (LQD)	105.4 – 107.2	Bearish
S&P 500 (SPX)	7,354 – 7,801	Bullish
Nasdaq Comp (COMPQ)	25,208 – 26,968	Bullish
Russell 2000 (RUT)	2,936 – 3,070	Bullish
Technology (XLK)	173 – 190	Bullish
Health Care (XLV)	159 – 167	Bullish
Real Estate (XLRE)	44.77 – 46.30	Bullish
Volatility (VIX)	15.03 – 20.65	Bearish
U.S. Dollar (USD)	99.01 – 101.17	Bearish
Crude Oil (WTIC)	73.09 – 84.68	Bearish
Nat Gas (NATGAS)	2.60 – 2.90	Bearish
Gold	4,018 – 4,175	Neutral
Copper	6.36 – 6.70	Bullish
Silver	57 – 62	Bearish

Takeaway: Press the broadening — equal-weight and #GoAnywhere diversification — rather than chasing the speculative squeeze. Watch whether **PLTR** holds its bullish breakout and whether Treasury can keep the **USD** below **TREND** vs. the Yen.

THE MACRO SHOW — Summary Notes | Wednesday, August 5th

The Macro Show · 08/05/26 10:29 AM EDT · Aug 5, GMT+8 · McCullough & Cooper

What: The daily macro broadcast, with several live position changes.

Positioning: The portfolio stayed long **13 US equity ETFs** (incl. **RSP**) on a broadening-earnings thesis — **371 companies reported, ~52% showing earnings growth** across multiple sectors — aligned to the **3-1-2 Quad path**. Key moves: **added Brazil (EWZ)**; **flipped the Philippines (EPHE) from short to long**; **trimmed New Zealand**; **bought Gold** near a “day-one higher low” and planned to **trim into strength**; **reallocated into Health Care (XLV)**.

Signals: **BULLISH** — **CRAK, XLE, RSP, EWZ, COLO, EPHE, Gold, XLV**. **BEARISH** — **LQD** (IG corporates), **US Dollar**. The **oil signal flipped bearish**: **WTI Alpha Code 80/82** (TRADE \$80, TREND \$82) with crude below both — but **CRAK and XLE longs stayed** because they are equity, not spot-crude, expressions.

Key numbers: **SPX–Dollar 30-day correlation** $\approx$ **-0.59**; **Tier1 Alpha gamma throttle** $\approx$ **21** (above 20 = trim/sell, not chase); **Silver +3%** but still below **TRADE ~62 / TREND ~71**; **10Y range 4.58–4.74%** with 2s/10s/30s in bullish trends; **August inflation nowcast rising to ~3.65%**.

Takeaway: Don't chase the two-day rebound. Emphasize equity broadening, energy equities, select EM and tactical gold; position for a **weaker dollar and higher yields** — a textbook **Quad 3** stagflation configuration. KM criticized reported Treasury yen intervention as “political market manipulation” and warned currency vol could rise off cycle lows.

MOMO TRACKER — Mag7 (+0.7%), GOOGL/NVDA = BULLISH, VIX < 19

Momentum Stock Tracker · 08/05/26 08:50 AM EDT · Aug 5, GMT+8 · Drake & Ricci

What: The daily momentum dashboard for the Mag7 and major equities. **Mag7 +0.7%** on the day, with **GOOGL and NVDA both scored BULLISH** on TRADE and TREND.

Key numbers: **VIX < 19** with **positive (+) gamma** — a “good times” / low-vol backdrop that, per the Macro Show, KM was using to **sell into strength** rather than add. The prior session had **AMZN flip BULLISH (+15.3%)** with just **5 names driving ~43% of SPX impact**, underscoring how narrow leadership remains even as breadth improves.

Takeaway: Mega-cap momentum has stabilized bullish (GOOGL/NVDA), but suppressed vol and positive gamma are a **trim signal**, not a chase signal.

CRYPTO QUANT — BTC (-0.4%), ETFs = +\$265M D/D

Bitcoin Trend Tracker · 08/05/26 08:00 AM EDT · Aug 5, GMT+8 · Drake / Steiner / Cooper

What: Daily crypto quant dashboard. **BTC -0.4%** overnight; **US spot ETF flows +\$265M D/D**.

Why: Headlines flagged **CLARITY Act “crunchtime”** in Washington, a **crypto PAC notching primary wins**, and an **ETH “net zero” issuance proposal**. Per the Macro Show, crypto **did not participate** in the US equity squeeze — a divergence KM highlighted as evidence the rebound was US-equity-specific.

Takeaway: Bitcoin flat with positive ETF flows but lagging the equity bounce; regulatory catalysts (CLARITY) are the near-term swing factor.

ALSO PUBLISHED (Aug 5, GMT+8)

Lighter notes & dashboards

Capital Allocation Pro | Daily Dashboard — Model Portfolios (09:33 AM EDT): refreshed daily Trend/Tail levels and model-portfolio snapshot.

ETF Pro Plus | UPDATE: 5 New ETF Pro Changes (11:28 AM EDT): five position changes on the ETF Pro Plus dashboard.

Digital Assets | L1 Watch — Weekly Update (07:05 AM EDT): weekly Layer-1 chartbook.

The Macro Show (video) (07:37 AM EDT): broadcast episode — content mirrored in the Summary Notes above.

6 substantive publications summarized from the last ~24 hours (GMT+8).